

Calderwood Partners LLC

www.calderwoodpartners.com

March 12, 2019

Barbara Ward
Director of Operations
Garza, Leblanc and Porter

Dear Ms. Ward:

It was a pleasure to talk through the coming year's portfolio questions with you last month, and this letter is meant to set down, plainly and in one place, the terms on which our firm will carry out that work for Garza, Leblanc and Porter; once you have read it and signed the copy enclosed for the purpose, it will stand as the agreement between us. I have written it at some length and in ordinary language, because you are entitled to understand exactly what you are committing your firm to rather than to infer it, and I would ask that you read what follows against the conversation we had and tell me, before you countersign, if anything set out here departs from what you understood us to have agreed.

The Scope of the Engagement

What we have undertaken is a portfolio strategy review for Garza, Leblanc and Porter, by which I mean a considered examination of the businesses the firm holds, of the returns and the demands each of them places on the whole, and of the question of where the firm's capital and attention are best directed over the period ahead. We will describe the portfolio as it now stands, weigh each part of it on its own merits and against the others, and set out a recommendation together with the reasoning that leads to it, so that where you come to differ from our view you can see precisely at which point your judgment and ours part company. The work covers our analysis and our counsel; it does not extend to carrying out whatever you decide, nor does it constitute legal, tax, or accounting advice, on which you should continue to rely on the advisers who ordinarily provide it to you.

How We Mean to Work

Our manner is deliberate, and I would rather describe it to you now than have it come as a surprise once we have begun. We start by learning how the firm actually operates and what each business is asked to contribute before we commit any judgment to paper; we test what we are told against evidence we can gather for

ourselves; and we bring you our thinking as it forms rather than holding it back for a single unveiling at the close, so that the conclusions, when they arrive, contain nothing you are meeting for the first time. Where the evidence will not carry a firm conclusion we will say so, and say what it would take to reach one, because an assessment that overstates its own certainty is of no use to a firm that must act on it.

The People You Will Be Working With

The day-to-day work will be carried out by two of our research staff, whom you will come to know well. Steven Hunt will assemble the market and company evidence that frames the review and will be your most frequent point of contact on questions of data and scheduling; he is quick and resourceful, and candid about the places where the evidence is thinner than one would like. Melissa Casey will build the exhibits and hold the analysis together from one working session to the next, and she is exacting about sources and labels in a way that repays the attention. I will keep my own hand on the judgments that decide how far a conclusion can be pressed before it outruns what supports it, and nothing will leave the firm under our name without my having read it first.

Our Fee and When We Begin

Our fee for the engagement as I have described it is \$39,000, fixed for the scope set out above and covering the time of the people named in it. The work will begin on March 22, 2019 and is expected to run for something on the order of nine months, though we will treat it as finished when the work is genuinely done rather than when the calendar says that it ought to be. Should you ask us to widen the work materially beyond what this letter contemplates, I will raise the question of the fee with you and we will settle it together before that further work begins, so that nothing ever reaches you on an invoice you have not agreed to in advance.

Invoicing and Payment

We will render invoices against the fixed fee as the work proceeds rather than in a single sum at the close, and each invoice will be payable within thirty days of your receipt of it. The fee does not include incidental costs such as travel or the reproduction of materials; those we will incur only with your agreement and pass through to you at what they cost us, itemized so that no line on an invoice is a matter of guesswork.

Duration and Ending the Engagement

Either of us may bring the engagement to an end on fourteen days' written notice to the other, for any reason or for none, and I would far rather you felt free to exercise that liberty than continue with work you had ceased to find useful. Should you be the one to end it, you will owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Everything we learn about Garza, Leblanc and Porter in the course of this work we will hold in confidence and use only for the purposes of the engagement, an obligation that binds each member of the team, that survives the end of our involvement, and that extends to the fact of the engagement as fully as to its substance. We ask the same of you in respect of the written materials and the methods we share with you, which are the firm's own and are given for your use rather than for wider circulation.

The Limit of Our Liability

We will carry out the work with the care and skill you are entitled to expect of a firm engaged for it, and we stand behind what we do. We do not, however, govern the decision you will ultimately take or the conditions under which you will act on it, and so, except to the extent the law does not permit such a limit, our liability to you arising out of this engagement is limited to the fees paid under it.

Governing Law

This agreement is governed by the law of the state in which our firm is established, and any dispute arising under it will be resolved by the courts of that state. Should any single provision of this letter be held unenforceable, the remainder of it will continue in force, unaffected by that provision's failure.

If this letter reflects the understanding we reached, I would ask that you sign the enclosed copy where indicated below and return it to me, keeping the other for your own file; the one step needed on your side is that signature, and once it is in hand Steven Hunt will write to you within the week to arrange the first meetings and set out the initial requests for information, so that we lose no time in beginning.

Julie Ramsey

Managing Principal

Date: March 12, 2019

Barbara Ward

Director of Operations, Garza, Leblanc and Porter

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